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Legal Risk Assessment for Transitional Markets

AFGHANISTAN TRANSITIONAL LEGAL RISK FRAMEWORK™

Critical Minerals and Legal Risk Exposure Assessment Framework

A White Paper On Legal, Institutional, and Investment Risk Assessment for Strategic Minerals in a High-Risk Transitional Environment.

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1. Executive Summary

Afghanistan is emerging as a strategically significant jurisdiction in the global race for critical minerals essential to the energy transition. Substantial deposits of copper (notably Mes Aynak, one of the world's largest undeveloped sites with ~11-12 million tonnes), lithium (pegmatite resources estimated at ~1.8 million tonnes Li from key deposits), rare earth elements (~1.4 million tonnes potential), iron ore, and other battery and renewable-energy materials have drawn renewed international interest amid accelerating demand for electric vehicles, battery storage, and clean technologies.[1]

Global supply-chain diversification efforts, geopolitical competition, and decarbonization imperatives have elevated mineral-rich frontier jurisdictions. However, Afghanistan exemplifies the tension between extraordinary geological potential and formidable legal-institutional barriers. As of mid-2026, the Taliban administration, as the *de facto* authority in Afghanistan, has advanced select projects—such as road construction at Mes Aynak with China Metallurgical Corporation (MCC) and Jiangxi Copper, targeting operations in 2026—while issuing numerous mining contracts[2], predominantly with Chinese and regional partners. Yet large-scale production remains limited, with many initiatives plagued by delays, security concerns, infrastructure deficits, and opaque governance.[3]

This white paper presents an integrated Transitional Legal Risk Framework™ for assessing investment in Afghanistan's extractive sector. It examines four core dimensions: (1) critical mineral potential and market relevance; (2) extractive legal architecture; (3) institutional continuity and enforcement risks; and (4) transitional exposures for foreign investors. Special focus is given to licensing integrity, title continuity, contract enforceability under contested legitimacy, sanctions compliance, beneficial ownership, and local stakeholder dynamics.

Risk-Opportunity Balance: While Afghanistan's untapped resources could contribute meaningfully to global supply diversification, operational realities reveal significant gaps. Chinese firms dominate active projects (controlling ~78% in key areas), often through raw-ore export models that prioritize short-term revenue over sustainable development.[4] Western investors face acute sanctions, banking, and reputational hurdles, rendering most engagements commercially challenging without sophisticated risk mitigation.

Successful engagement will hinge not on resource abundance alone, but on advanced legal structuring, political contingency planning, ESG integration, and adaptive institutional navigation. This framework equips strategic investors, policymakers, and industry stakeholders with practical tools for evaluating bankability in one of the world's most complex transitional environments.

The analysis focuses on four interrelated dimensions:

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[1] U.S. Geological Survey (USGS). 2025. Mineral Commodity Summaries. Washington, DC: U.S. Department of the Interior. (See also historical USGS Afghanistan assessments confirming Mes Aynak resources of approximately 11+ million tonnes copper.)
[2] TOLOnews. 2026. "Mes Aynak Copper Project Nears Launch After Years of Delays." August 2026. https://tolonews.com/afghanistan-195227 .
(Also: South China Morning Post, August 6, 2025.)
[3] Ashraf Dawar, Muhammad Waqar Khan and Lindsey Tchatchouang, 'The geopolitical implications of rare earth minerals extraction in Afghanistan' (2025) 14 Journal of Trace Elements and Minerals 100267

[4] Various analyses, including "The Geopolitical Implications of Rare Earth Minerals Extraction in Afghanistan," Resources, Conservation & Recycling Advances, 2025. (Chinese firms control approximately 78% of current extraction projects.)

1. Critical mineral potential and strategic market relevance
2. Legal and regulatory architecture of extractive investment
3. Institutional continuity and enforcement risk
4. Transitional legal exposure affecting foreign investors

The report argues that Afghanistan represents both **exceptional strategic opportunity** and **exceptional legal complexity**. In the coming decade, successful engagement in Afghanistan's mineral economy will depend less on resource abundance alone and more on **sophisticated legal risk management, contractual architecture, political contingency planning, and institutional navigation**.

2. Why Afghanistan Matters in the Energy Transition

The global energy transition has reshaped the geopolitics of mineral supply. Lithium, copper, nickel, cobalt, graphite, and rare earth elements (REEs) are indispensable for electric vehicles, battery storage, wind/solar infrastructure, and high-tech defense applications. Supply concentration risks—particularly reliance on dominant producers—have prompted major economies to pursue diversification strategies.[5]

Afghanistan holds notable geological promise. Key assets include:

- Copper: Mes Aynak in Logar province, with resources estimated at over 11 million tonnes—one of the largest undeveloped deposits globally. As of 2025-2026, MCC/Jiangxi Copper has made tangible progress: access road construction advanced after a July 2024 groundbreaking, contract extended by 15 years, and practical operations targeted for 2026 (following $430M+ invested; total project costs now ~$5B with underground mining adjustments for archaeological protection).[6]
- Lithium: Promising pegmatite deposits primarily in northeastern provinces (Nuristan, etc.) and potential brines in Helmand Basin. Geological assessments indicate ~1.8 Mt Li (as Li_2O equivalent) from select deposits at shallow depths, with grades around 1.7% Li_2O. A $10 billion Chinese proposal (Gochin) for lithium development was discussed but has not advanced to a signed contract.[7]
- Rare Earth Elements and Others: ~1.4 million tonnes REE potential (e.g., Khanneshin carbonatite in Helmand); significant iron ore (Hajigak), plus tin, antimony, and industrial minerals. China has secured preferential access in many areas via "security-for-minerals" arrangements.[8]

2.1 Strategic Context

Taliban authorities have actively courted investment, signing deals worth billions (often with Chinese, Iranian, Turkish, and local partners) and emphasizing minerals as a pathway to economic legitimacy. However, production remains modest and fragmented. Hundreds of

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[5] Xuejia Du and Ganesh C Thakur, *The Growing Importance of Critical Minerals for the Energy Transition and US Supply Chain Security* (SPE 2025)
[6] Dawar, Khan and Tchatchouang, 'The geopolitical implications of rare earth minerals extraction in Afghanistan'
[7] ISDP Policy Brief. May 2026. "Afghanistan in China's Extended CPEC 2.0 Strategy." (Gochin $10 billion proposal)
[8] U.S. Geological Survey and academic assessments (e.g., Khanneshin carbonatite complex). "The Geopolitical Implications of Rare Earth Minerals Extraction in Afghanistan," 2025

contracts focus on quick raw ore exports, with limited value addition or infrastructure benefits. Illegal/artisanal mining persists, sometimes linked to revenue leakage and security risks.[9]

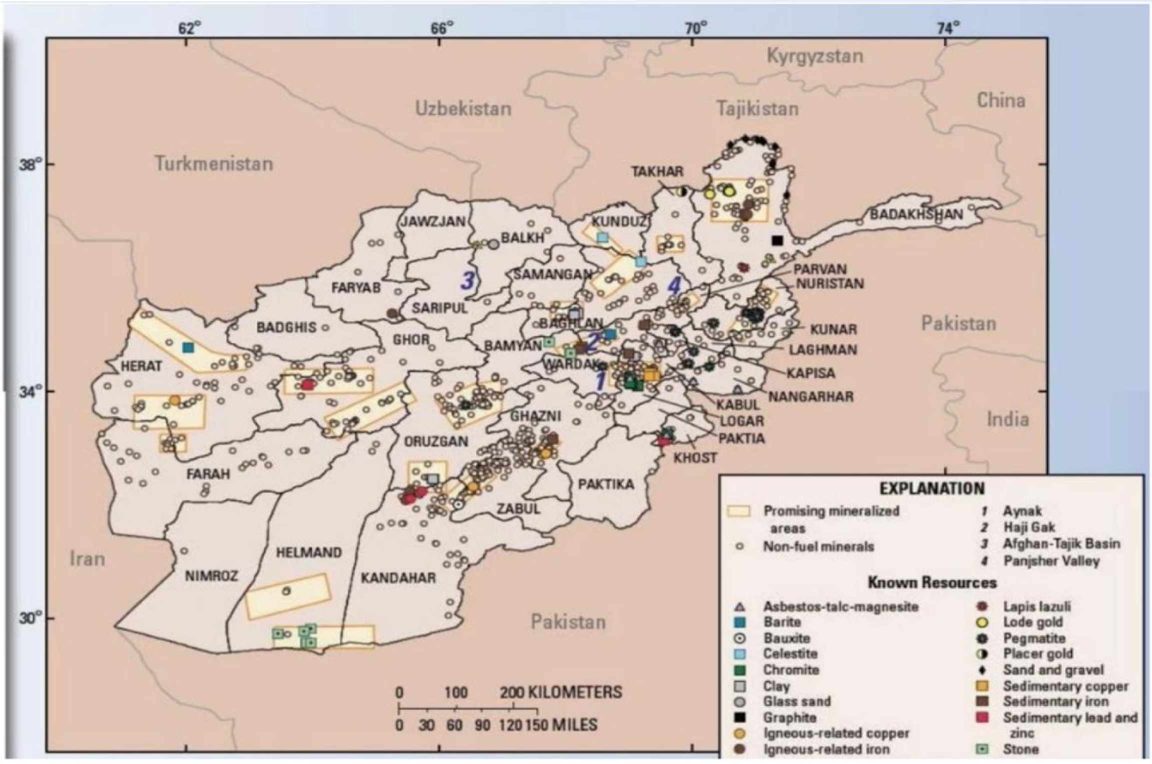
2.2 Risk-Opportunity Balance

Afghanistan's mineral endowment positions it as a potential long-term contributor to diversified supply chains, particularly for battery minerals and REEs. Chinese dominance provides a pragmatic entry point for some actors but raises concerns over opaque terms, limited local benefits, and dependency. For Western or multilateral investors, sanctions regimes, non-recognition of the Taliban government, banking isolation, and ESG challenges (human rights, environmental safeguards, community impacts) create prohibitive barriers absent major governance shifts.[10]

Mineral abundance does not guarantee viability. Realizing Afghanistan's potential requires addressing institutional fragility, regulatory uncertainty[11], and transitional risks head-on—precisely the focus of the framework presented in this paper.

Figure 1: Afghanistan's Mineral deposits (Source: USGS[12])

[9] Lowy Institute. 2026. "Afghanistan is Surrendering Its Mineral Wealth – and Its Future."
[10] Thomas N Hale and Saleem H Ali, 'Afghanistan's mineral fortune: prospects for fuelling a green transition?' (2023) 526 Geological Society, London, Special Publications 69
[11] Zora Arfina Sukabdi and Muhammad Hadras, 'Chinese investment in Afghanistan: Opportunities and challenges' (2026) 10 Asian Themes in Social Sciences Research 1
[12] U.S. Geological Survey, & Afghanistan Geological Survey, Preliminary assessment of non-fuel mineral resources of Afghanistan (U.S. Geological Survey Fact Sheet No. 2007-3063), U.S. Agency for International Development (2007)
https://doi.org/10.3133/fs20073063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66°
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74°
38°
34°
30°
Kyrgyzstan
Uzbekistan
Tajikistan
China
Turkmenistan
Pakistan
India
Iran
TAKHAR
JAWZJAN
BALKH
KUNDUZ
BADAKHSHAN
FARYAB
SAMANGAN
PARVAN
NURISTAN
SARIPUL
BAGHLAN
BADGHIS
KUNAR
GHOR
BAMYAN
LAGHMAN
HERAT
WARDAK
KAPISA
KABUL
NANGARHAR
LOGAR
PAKTIA
GHAZNI
ORUZGAN
KHOST
FARAH
PAKTIKA
ZABUL
NIMROZ
HELMAND
KANDAHAR
0 100 200 KILOMETERS
0 30 60 90 120 150 MILES
EXPLANATION
Promising mineralized areas
Non-fuel minerals
1 Aynak
2 Haji Gak
3 Afghan-Tajik Basin
4 Panjsher Valley
Known Resources
Asbestos-talc-magnesite
Barite
Bauxite
Celestite
Chromite
Clay
Glass sand
Graphite
Igneous-related copper
Igneous-related iron
Lapis lazuli
Lode gold
Pegmatite
Placer gold
Sand and gravel
Sedimentary copper
Sedimentary iron
Sedimentary lead and zinc
Stone

3. Afghanistan's Extractive Legal Architecture

Afghanistan's extractive sector is grounded in constitutional provisions declaring subsurface resources as state property (historically Article 9 of the 2004 Constitution, retained in practice). The formal framework is anchored in successive Minerals Laws (notably the 2018 version and Taliban adaptations), which aim to regulate licensing, exploration, exploitation, royalties, and environmental/social safeguards while encouraging foreign investment. Under Taliban administration since 2021, the Ministry of Mines and Petroleum (MoMP) has continued to apply and modify pre-existing regulations. Key adaptations include streamlined licensing for smaller contracts and emphasis on rapid revenue generation.[13]

- ✓ **Recent Example**: The Mes Aynak copper project contract with MCC/Jiangxi Copper was extended by another 15 years in 2026, increasing the total duration to 45 years. Road construction has advanced, with underground mining adopted to address archaeological concerns, targeting operational start in late 2026.

However, the core challenge lies in institutional legitimacy and continuity. Contracts issued under current arrangements lack broad international recognition, creating vulnerabilities in title security, enforceability, and future renegotiation risks if governance shifts occur.

[13] Ghazal Habibyar and Javed Noorani, 'Afghanistan's Minerals: Past and Present' (2023)

4. Core Legal Risks for Foreign Investors

Foreign investors face a multifaceted risk environment that goes beyond conventional frontier-market challenges. The following core risks are amplified by political non-recognition and transitional dynamics.

4.1 Institutional Continuity Risk

Licenses and contracts may face challenges from future authorities or competing claims. Arrangements under militant groups that act as de facto authorities such as Taliban, often feature uncertainty and short-term focus, thus increasing renegotiation risks.[14]

Key questions include:

- ✓ Will contracts survive political transition?
- ✓ Will successor authorities review, renegotiate, or invalidate concessions?
- ✓ Could future administrations challenge the legality of licenses issued under current institutions?

4.2 Contract Enforceability Risk

Dispute resolution is complicated by non-recognition of the Taliban government, limiting access to international arbitration and domestic judicial predictability. Force majeure and sovereign interference risks remain elevated.

Investors face questions regarding:

- ✓ dispute resolution mechanisms;
- ✓ governing law;
- ✓ arbitral enforceability;
- ✓ domestic judicial predictability;
- ✓ force majeure implications;
- ✓ sovereign interference risk.

4.3 Sanctions & Compliance Risk

Afghanistan presents a complex sanctions and compliance environment characterized by targeted financial restrictions, elevated AML/KYC scrutiny, and constraints on correspondent banking relationships. While Afghanistan is not generally subject to a comprehensive countrywide sanctions regime comparable to the most heavily restricted jurisdictions, practical obstacles to banking access, international payments, insurance, and trade facilitation remain significant for many foreign actors.[15]

Even commercially permissible activities may face enhanced due diligence requirements, heightened compliance review, reputational risk considerations, and operational friction in cross-border financial transactions. These conditions have, in practice, contributed to a more selective investment environment in which regional actors—particularly from neighboring states and China—have demonstrated comparatively higher market engagement than many Western firms. From a legal-risk perspective, Afghanistan presents a distinctive compliance landscape involving questions of:

[14] Margaret J Foster, 'Gig Economy Insurgency' (2024) Studies in Conflict & Terrorism 1
[15] Saifullah Rahimi and Ajai Prakash, 'The Role of NGOs and International Actors in Supporting Microfinance Post-2021 in Afghanistan' (2025) 7 International Journal For Multidisciplinary Research

- ✓ sanctions screening;
- ✓ AML/KYC exposure;
- ✓ beneficial ownership concerns;
- ✓ correspondent banking limitations;
- ✓ international payment restrictions.

4.4 Local Governance & Stakeholder Risk

Mining and infrastructure projects often depend on local legitimacy, land access, tribal dynamics, and informal governance relationships.

Failure to understand local governance structures can produce:

- ✓ concession instability;
- ✓ operational disruption;
- ✓ community resistance;
- ✓ reputational exposure.

4.5 ESG Risks (Environmental, Social, Governance)

Mining under current conditions often proceeds with limited environmental impact assessments, leading to concerns over water stress, waste management, and biodiversity loss. Social risks include inadequate community benefits, gender exclusions under Taliban policies, and human rights implications that create reputational and divestment pressures for Western firms. Governance gaps—corruption, revenue leakage, and weak oversight—further undermine sustainability.[16]

Table 1: Comparison with other high-risk jurisdictions

Aspect	***Afghanistan (2026)***	***DRC***	***Myanmar***
Institutional Continuity	High uncertainty linked to contested recognition and evolving governance structures	Moderate instability	High uncertainty under military administration
Sanctions & Compliance	Elevated compliance burden; targeted restrictions and banking friction	Limited targeted sanctions	Extensive sanctions exposure
ESG Challenges	Weak institutional oversight; human rights and governance concerns	Conflict minerals, artisanal mining risks	Rights and environmental concerns
Contract Transparency	Limited transparency; significant negotiation opacity	Improving but corruption concerns persist	High opacity
Foreign Investor Appeal	Primarily regional and Chinese actors; Western caution	Mixed investor environment	Limited appetite

[16] Raphael Deberdt, Nathaniel Buffenoir and Farnaz Gholami, 'Mining green minerals with the Taliban: Addressing new sourcing risks from Afghanistan in the age of the green transition' (2024) 17 The Extractive Industries and Society 101446

5. Strategic Opportunities in Critical Minerals

Despite substantial legal and institutional complexity, Afghanistan possesses one of the world's most strategically significant undeveloped mineral portfolios. In the context of accelerating global energy transition, intensifying supply-chain competition, and growing demand for battery-related minerals, Afghanistan is increasingly viewed as a frontier jurisdiction with long-term geopolitical and commercial relevance.[17]

The country's mineral reserves—including copper, lithium, rare earth elements (REEs), iron ore, gold, zinc, and other strategic resources—have attracted sustained interest from Chinese state-linked enterprises, regional actors, and speculative international investors seeking early positioning opportunities in future extraction projects.

While current market conditions remain constrained by sanctions exposure, institutional opacity, infrastructure deficits, and recognition-related uncertainty, Afghanistan's resource base continues to generate strategic interest due to the global race for critical minerals required for renewable energy systems, electric vehicles, battery manufacturing, telecommunications infrastructure, and advanced industrial technologies.[18]

5.1 Key Developments (2025–2026)

Copper — Mes Aynak Project

Mes Aynak, located in Logar Province, remains one of the largest undeveloped copper deposits globally, with estimated reserves of approximately 11–12 million tonnes of copper.

As of 2026, the Chinese consortium led by Metallurgical Corporation of China (MCC) and Jiangxi Copper has reportedly advanced certain infrastructure and access-road activities following renegotiations and extensions associated with the original concession framework. Discussions surrounding underground extraction methods—partly intended to mitigate archaeological concerns—have contributed to renewed project momentum.

Although commercial production timelines remain uncertain, available reporting suggests that limited operational progress may emerge during the 2026–2027 period, subject to security, infrastructure, and political conditions.

Lithium and Rare Earth Elements (REEs)

Afghanistan's lithium potential has received increasing international attention due to global battery supply-chain pressures and efforts to diversify future sources of lithium and rare earth inputs.

Geological indications across Nuristan, Ghazni, Helmand, and other regions suggest potentially significant pegmatite and mineralized formations. Various Chinese-linked exploratory proposals and preliminary investment discussions have reportedly emerged, including large-scale conceptual investment frameworks relating to lithium development.

[17] Aziz Ahmad Fazli and Sayed Taher Erfani, 'Lithium as a Strategic Resource in Global Politics; Opportunities and Challenges for Afghanistan' (2025) 2 Semiannual Scientific-Research Journal of Political and International Studies 131

[18] Dawar, Khan and Tchatchouang, 'The geopolitical implications of rare earth minerals extraction in Afghanistan'

Nevertheless, large-scale commercial exploitation remains highly uncertain due to unresolved governance issues, infrastructure limitations, sanctions-related compliance constraints, and the absence of internationally recognized regulatory stability.[19]

Other Strategic Minerals

Additional mining contracts involving zinc, lead, antimony, gold, chromite, iron ore, and other minerals have reportedly been issued to regional commercial actors and smaller foreign operators.

Current extraction patterns appear heavily oriented toward short-term revenue generation and raw-material exports rather than integrated downstream industrial development. This dynamic increases exposure to governance concerns, environmental risks, contract instability, and long-term sustainability challenges..

Table 2: Strategic Mineral Opportunities in Afghanistan (2026)

Mineral	Key Regions / Deposits	Strategic Relevance	Current Status (2026)	Principal Commercial Interest
Copper	Mes Aynak (Logar)	Energy infrastructure, industrial manufacturing	Infrastructure and concession activity progressing	Chinese state-linked entities
Lithium	Nuristan, Ghazni, Helmand	EV batteries, storage technologies	Exploratory interest; no mature commercial production	Chinese and regional investors
Rare Earth Elements	Khanneshin and surrounding regions	Renewable technologies, electronics, defense sectors	Early-stage interest and fragmented contracts	Regional and Chinese actors
Iron Ore	Hajigak	Steel production and infrastructure	Limited progress due to instability	Regional interest
Gold / Zinc / Lead	Multiple provinces	Export and industrial use	Small-scale extraction contracts	Regional operators

5.2 Scenario Outlook (2026–2030)

Base Case (Most Likely)

- ✓ Continued Chinese-dominated extraction activity focused primarily on raw-material access, with incremental infrastructure development but limited institutional reform or broader economic transformation.

Optimistic Scenario

[19] Rinat Tantashev and Bahtiyor Eshchanov, 'Greening the economy in Afghanistan–role of the critical mineral mining industry' (2024)

- ✓ Selective international engagement, gradual regulatory stabilization, and limited infrastructure modernization improve commercial predictability and facilitate cautiously expanded foreign participation.

Pessimistic Scenario

- ✓ Escalating sanctions exposure, security deterioration, governance disputes, or internal fragmentation significantly impair investment viability and disrupt ongoing projects.

Afghanistan's mineral sector cannot presently be assessed through conventional frontier-market assumptions alone. The combination of political transition, fragmented institutional legitimacy, sanctions complexity, and weak enforcement structures requires highly specialized legal and transitional-risk analysis.

Accordingly, opportunities in Afghanistan's critical-minerals sector are bankable only through disciplined transaction structuring, layered compliance assessment, adaptive contractual architecture, and continuous geopolitical risk monitoring.

Table 3: SWOT Matrix: Afghanistan as a Transitional Investment Destination (2026)

STRENGTHS	***WEAKNESSES***
Exceptional Mineral Endowment *— Afghanistan possesses significant untapped deposits of copper, lithium, rare earth elements, cobalt, iron ore, gold, and gemstones, many of which are strategically relevant for battery technologies, renewable energy systems, and global supply chains.*	**Institutional and Regulatory Uncertainty** — Lack of internationally recognized governance structures creates uncertainty regarding regulatory continuity, contract enforceability, legal standing of concessions, and future sovereign commitments.
Strategic Geoeconomic Position *— Afghanistan occupies a geographically important position linking Central Asia, South Asia, China, and the Middle East, potentially serving as a future transit and logistics corridor.*	**Weak Legal Infrastructure** — Judicial independence, commercial dispute resolution, arbitration enforcement, property registration systems, and administrative transparency remain underdeveloped or inconsistent.
Underdeveloped Market with First-Mover Potential *— High barriers to entry and limited competition may create strategic advantages for early movers capable of managing elevated risk profiles.*	**Banking and Financial Isolation** — International financial restrictions, correspondent banking challenges, AML/KYC scrutiny, and payment settlement risks significantly complicate cross-border investment operations.
Abundant Renewable Energy Potential *— Significant solar, wind, and hydropower potential may support domestic electrification and energy-intensive mineral extraction in the future.*	**Critical Infrastructure Deficits** — Insufficient transport corridors, electricity supply, logistics systems, telecommunications resilience, and industrial processing facilities increase transaction costs and operational uncertainty.
Growing Regional Economic Engagement *— Increased engagement by regional actors including China, Central Asian states, Gulf investors, Pakistan, and Türkiye may contribute to selective sectoral development.*	**Human Capital and Technical Capacity Constraints** — Shortages of specialized technical expertise, skilled labor, industrial governance systems, and institutional administrative capacity may delay complex projects.

These opportunities are bankable only through sophisticated legal structuring—precisely the domain of the framework below.

6. Toward a Transitional Legal Risk Framework for Afghanistan

Conventional political-risk analysis is insufficient for jurisdictions undergoing profound institutional transition. Afghanistan presents a uniquely complex environment in which formal legal systems, political authority, sanctions exposure, tribal dynamics, international recognition issues, and practical enforcement realities interact simultaneously.

For foreign investors, mining operators, advisory firms, commodity traders, insurers, and financial institutions, the central challenge is not merely political instability—it is the absence of predictable institutional continuity.

The Afghanistan Transitional Legal Risk Framework™ is designed as a structured analytical methodology intended to transform legal and institutional uncertainty into trackable and operationally relevant indicators.

The framework does not attempt to predict political outcomes. Rather, it functions as a practical decision-support model for evaluating transactional resilience, institutional exposure, regulatory fragility, sanctions-related constraints, and long-term enforceability risks in transitional environments.

The model is specifically designed for:

- ✓ Foreign direct investment (FDI) assessment
- ✓ Critical minerals and extractive-sector projects
- ✓ Joint ventures and concession structures
- ✓ Regulatory due diligence
- ✓ Sanctions-sensitive commercial operations
- ✓ Long-horizon strategic market analysis

The framework enables investors and institutions to move beyond generalized "high-risk" characterizations and instead evaluate specific categories of exposure through a disciplined, weighted analytical structure..

6.1 Methodology

The Framework assesses exposure across six core dimensions on a 0–10 scale (0 = negligible risk; 10 = severe instability). Dimensions are weighted by impact on capital preservation and enforceability. Weighted scores aggregate into a Composite Risk Score (0–10) for strategic decision-making.

Table 4: Core Transitional Risk Dimensions

Risk Dimension	Weight	Core Assessment Focus
Institutional Continuity	25%	Durability of governing authority, institutional survivability, recognition-related exposure
Title & Licensing Integrity	20%	Validity and continuity of concessions, licensing chains, renegotiation vulnerability
Contract Enforceability	20%	Arbitration viability, dispute-resolution reliability, enforcement predictability
Sanctions & Compliance Exposure	15%	AML/KYC exposure, banking access, insurance constraints, correspondent-risk environment
Local Governance & ESG Exposure	10%	Community relations, tribal dynamics, environmental and human-rights considerations
Transitional Volatility	10%	Political discontinuity, regulatory reversals, conflict-related disruption

Composite Transitional Risk Score:
The weighted indicators are aggregated into a Composite Transitional Risk Score ranging from 0–10:

- 0–3 = Moderate Transitional Exposure
- 3–6 = Elevated Transitional Exposure
- 6–8 = Severe Transitional Exposure
- 8–10 = Extreme Transitional Instability

The scoring model is designed to support comparative assessment, phased investment planning, transaction structuring, and ongoing monitoring rather than deterministic prediction.

6.2 Practical Toolkit; Transitional Due Diligence Priorities

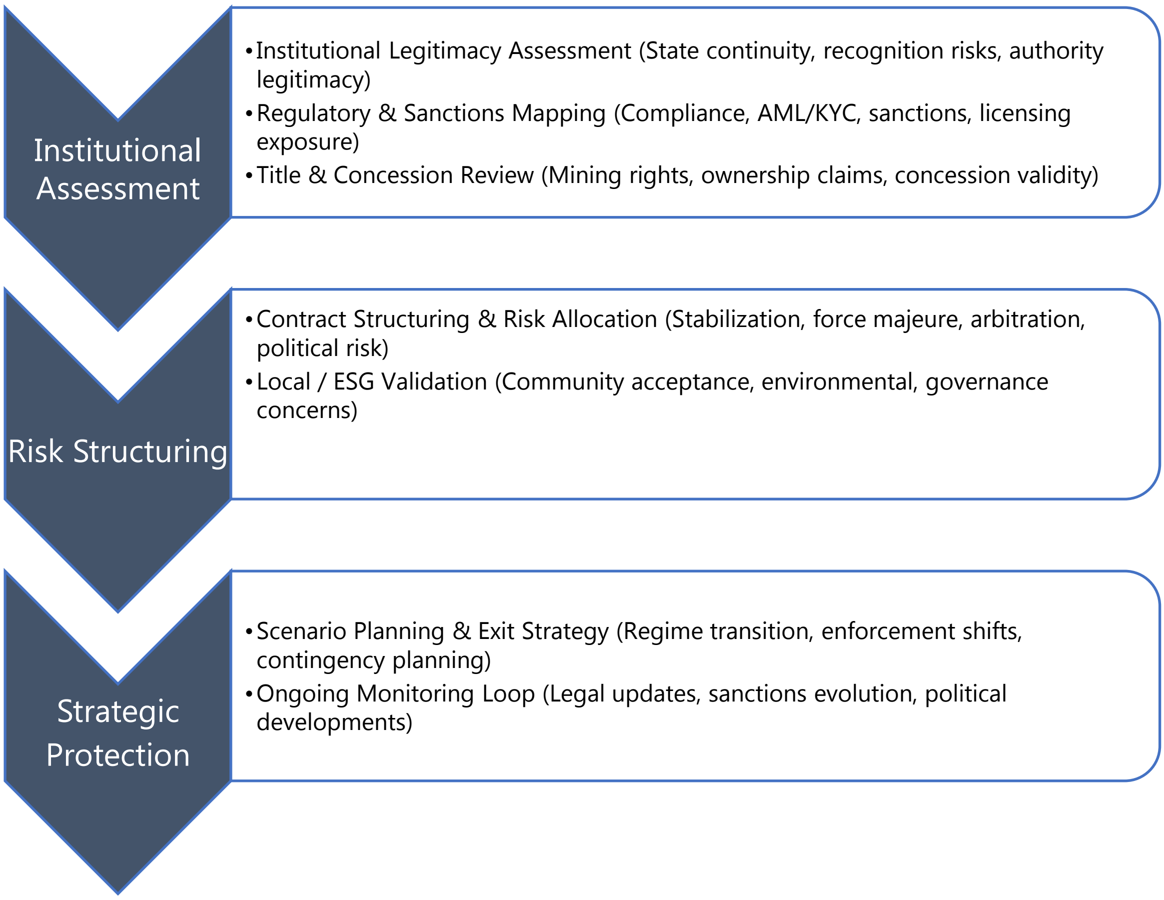
Before entering Afghanistan-related transactions, investors and commercial actors should consider a multi-layered due diligence process that extends beyond conventional legal review.

Key considerations include:

- ✓ Mapping concession and licensing history across both pre- and post-2021 institutional periods
- ✓ Conducting independent sanctions screening and beneficial ownership verification
- ✓ Assessing exposure to designated individuals, entities, or restricted sectors
- ✓ Evaluating practical enforceability of contractual rights under transitional conditions
- ✓ Reviewing infrastructure dependencies, logistics corridors, and payment feasibility
- ✓ Incorporating phased investment structures and milestone-based capital deployment
- ✓ Utilizing enhanced force majeure, stabilization, renegotiation, and exit provisions
- ✓ Conducting localized stakeholder and ESG mapping where applicable

- ✓ Establishing periodic reassessment mechanisms based on evolving institutional conditions
- ✓ In transitional environments, risk management is not a one-time exercise. It is an ongoing monitoring process requiring continuous reassessment of legal, political, and operational exposure..

Transitional Risk Management Flowchart:



1. Institutional Legitimacy Assessment

(State continuity, recognition risks, authority legitimacy)

↓

2. Regulatory & Sanctions Mapping

(Compliance, AML/KYC, sanctions, licensing exposure)

↓

3. Title & Concession Review

(Mining rights, ownership claims, concession validity)

↓

4. Contract Structuring & Risk Allocation

(Stabilization, force majeure, arbitration, political risk)

↓

5. Local / ESG Validation

(Community acceptance, environmental, governance concerns)

↓

6. Scenario Planning & Exit Strategy

(Regime transition, enforcement shifts, contingency planning)

↓

7. Ongoing Monitoring Loop

(Legal updates, sanctions evolution, political developments)

6.3 Hypothetical Application Scenario

Scenario:

A mid-sized European critical-minerals company evaluates participation in a lithium exploration joint venture in Afghanistan during 2026.

Illustrative Framework Outcome, Composite Transitional Risk Score:

Approximate Result: 7.2 / 10

Key Drivers of Elevated Risk:

- ✓ Institutional recognition uncertainty
- ✓ Limited banking and payment channels
- ✓ Sanctions-related compliance exposure
- ✓ Contract enforcement unpredictability
- ✓ Weak infrastructure and governance capacity
- ✓ Security and operational continuity concerns

Potential Structuring Responses:

- ✓ The framework would suggest consideration of:
- ✓ Phased capital deployment mechanisms
- ✓ Enhanced stabilization and exit provisions
- ✓ Political risk insurance (PRI) layering

- ✓ International arbitration structuring where feasible
- ✓ Robust compliance and sanctions protocols
- ✓ Continuous monitoring and quarterly reassessment

The objective of the framework is not to eliminate transitional risk. Rather, it is to enable disciplined calibration of exposure and more resilient transaction design under conditions of institutional uncertainty.

Conclusion

Afghanistan represents one of the most legally and institutionally complex frontier jurisdictions in the contemporary global economy. At the same time, its strategic mineral reserves position the country as a potentially significant actor within future energy-transition supply chains and critical-mineral markets.

This duality creates a classic transitional paradox: exceptional resource potential coexisting alongside profound uncertainty concerning governance, enforceability, sanctions exposure, infrastructure, and institutional continuity.

For investors, commercial actors, and strategic institutions, conventional emerging-market analysis is insufficient in such environments. Successful engagement requires structured legal-risk assessment, adaptive transaction architecture, enhanced compliance mechanisms, and continuous monitoring of institutional developments.

The Afghanistan Transitional Legal Risk Framework™ is intended to contribute a more disciplined methodology for evaluating these dynamics. By converting transitional uncertainty into structured analytical indicators, the framework seeks to assist investors in calibrating exposure, improving due diligence, and designing more resilient commercial strategies.

Ultimately, Afghanistan's long-term investment trajectory will depend not only on geology or resource demand, but also on the evolution of governance structures, institutional legitimacy, regulatory predictability, and international engagement.

In transitional jurisdictions, sophisticated legal architecture becomes not merely supportive—but foundational to sustainable investment participation..

About the author

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Dr. Maddahinasab obtained his Ph.D. in Oil and Gas Law from the University of Tehran and conducted doctoral research at the University of Zürich with the support of the Mercator Foundation, Switzerland. He subsequently pursued postdoctoral research at Ruhr University Bochum under the sponsorship of the Alexander von Humboldt Foundation, Germany.

His research has focused extensively on international investment law, energy governance, legal risk assessment, and the regulatory dimensions of foreign market entry. Through *Maddahinasab Legal Advisory*, he develops analytical frameworks and legal risk methodologies designed to assist investors, commercial actors, and market participants in evaluating legal uncertainty in transitional and institutionally volatile environments.

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